

Do you wish to become affluent and stay affluent? Can you answer “yes” candidly and honestly to four simple questions?

QUESTION 1: DOES YOUR HOUSEHOLD OPERATE ON AN ANNUAL BUDGET?

Do you plan your consumption spending according to a variety of food, clothing, and shelter categories each year? Mrs. Rule does, and so do most millionaires. In fact, in our latest national survey of millionaires, we found that for every 100 millionaires who don’t budget, there are about 120 who do.

We anticipate your question about those millionaires who don’t budget. How did they become millionaires? How do they control spending? They create an artificial economic environment of scarcity for themselves and the other members of their household. More than half of the nonbudgeters invest first and spend the balance of their income. Many call this the “pay yourself first” strategy. These people invest a minimum of 15 percent of their annual realized income before they pay the sellers of their food, clothes, homes, credit, and the like.

What about those millionaires who don’t budget *or* create an environment of relative scarcity? Some inherited all or most of their wealth. Another minority, accounting for fewer than 20 percent of millionaires, typically earn such high incomes that to some extent they can eat their income and still have a seven-figure net worth. In other words, their extraordinarily good offense compensates for a lack of defense. But so what if you earn \$2 million a year and have a net worth of \$1 million? Technically you’re a millionaire. But spiritually you’re an under accumulator of wealth. And it’s likely that your millionaire status is temporary. These are the people you read about in the newspaper. The press loves to tout freaks of both nature and economics.

Will the popular press ever do a story on Mrs. Rule? It’s unlikely. Who wants to read about Mrs. Rule’s \$140,000 home or her four-year-old “Detroit metal” sedan? Who wants to see her sitting at the kitchen table three nights in a row, putting together her family’s annual budget? Is there anything exciting about computing and accounting for each dollar spent last year? Would you be thrilled to watch Mrs. Rule compute and allocate future dollars of income into dozens of consumption categories? How long could you stand to watch her carefully complete her annual